

Management

QHSE Audit procedure

Reference

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1. Purpose

The purpose of this document is to define the general organization of QHSE management audits carried out by BYTP: internal and external (so-called second party), as well as TopSite evaluations.

Internal audits are objective analyses, their aim is to ensure the monitoring and control of BYTP's activities thus creating an added value. They help the company to achieve its objectives by evaluating, through a systematic and methodical approach, its processes and by suggesting, if necessary, proposals to improve their efficiency.

External audits are objective analyses, their aim is to ensure the monitoring and control of BYTP's partners activities to meet the company's expectations in terms of Quality, Health & Safety and Environment. They aim to develop mutually beneficial relationships between the company and its partners.

This procedure does not apply to Health & Safety visits and inspections, Quality Control (QC) audits, audits life camps (see Occupational Health and Safety Management System), BYCN internal control audits.

It also does not take into account third-party or customer audits.

2. Scope

This procedure covers:

- Internal audits that are carried out within the scope of BYTP SAS. It includes:
 - Projects
 - Processes
 - Operational units (OU) (see §5. Definitions)
 - Specific entities (SE) (see §5. Definitions)
- External audits that are carried out by BYTP outside its own scope of work. It includes:
 - Suppliers
 - Subcontractors
 - Service providers

3. Normative references

- Standard ISO 19011: Guidelines for Auditing Management Systems - V2018
- Standard ISO 9001 - V2015
- Standard ISO 14001 - V2015
- Standard ISO 45001 - V2018

4. List of BYTP applicable documents

1. Audit Plan (MNG-FOR-0004-EN)
2. Internal Audit Report (MNG-FOR-0002-EN)
3. Attendance Sheet (MNG-FOR-0006-FR EN)

5. Definitions

Note: Reference used is ISO 9000.

- **Audit:** systematic, independent and documented process for obtaining objective evidence and evaluating it objectively to determine the extent to which the audit criteria are fulfilled.
- **Auditor:** qualified person who conducts an audit.
- **Auditee:** representative of the audited entity.
- **Observer:** person who accompanies the audit team but does not act as an auditor. An observer can be a member of the auditee, a regulator or other interested party who witnesses the audit.
- **Audit's criteria:** set of policies, procedures or requirements used as a reference against which audit evidence is compared.
- **Process:** a set of correlated or interacting activities that uses inputs to deliver an intended result. A processes are generally planned and carried out under controlled conditions to add value.
- **Curative action or correction:** action to eliminate a detected non-conformance. A correction can be made in advance of, in conjunction with or after a corrective action.
- **Corrective action:** action to eliminate the cause of a non-conformance and to prevent recurrence on the same worksite or in the same activity. There can be more than one cause for a non-conformance.
- **Preventive action:** action aiming to eliminate potential undesirable situation that could lead to a non-conformance on any worksites and/or activities.
- **Projects:** bids and construction sites in progress.
- **Operational Unit (OU):** lasting business unit of BYTP SAS (excluding subsidiaries).
- **Specific Entities (SE):** BYTP Specific Entity excluding construction sites and perennial entities. This includes Bourg-Lès-Valence (BLV), Laboratoire Central, and PIM.
- **Requirement:** need or expectation that is stated, generally implied or obligatory
"Generally implied" means that it is custom or common practice for the organization and interested parties that the need or expectation under consideration is implied.
- **Performance:** measurable result. Performance can relate either to quantitative or qualitative findings.
- **Audit evidence:** records, statements of fact or other information, which are relevant to the audit criteria and verifiable
- **Audit findings:** results of the evaluation of the collected audit evidence against audit criteria. Audit findings indicate a conformity or a nonconformity. They can lead to the identification of opportunities for improvement or recording good practices.

See in addition the Standard ISO 19011 (v2018) – Guidelines for auditing management systems.

5.1 Roles and responsibilities during an internal/external audit or a TopSite evaluation

Lead auditor's missions, with the support of the audit team:

- Set the audit's date & purpose with the auditees
- Ensure the contact with the auditees in the upstream and downstream of the audit/evaluation realization
- Prepare the audit/evaluation with his team and request from the auditees the necessary documents.
- Establish the audit plan (excluding TopSite evaluations) and distribute it to the auditees and to the managers of the party/parties to be audited after validation by the concerned parties.
- Organize the audit/evaluation opening meeting
- Carry out the audit/evaluation
- Organize a summary meeting to prepare the audit findings
- Organize a closing meeting at the end of the audit
- Write and distribute the audit/evaluation report (see §7.3)

Experts or observers' mission is to assist and/or provide their expertise to the audit team.

Auditees' missions:

- Transmit the necessary documents for the audit/evaluation preparation and the carry out, as defined in the distributed audit plan.
- Identify the people responsible for the corrective actions, particularly if non-conformances are reported by the auditors
- Implement the adequate corrective actions for the non-conformances observed during the audit and within the predetermined deadline set by the auditors and the auditees during the closing meeting.
- Corrective actions measure the effectiveness, in collaboration with the actions responsible.
- Transmit to the auditors the non-conformances answers along the corrective actions within a deadline set by the involved people during the closing meeting.

H&S Division and Performance & Stakeholders Division combined mission:

- Establish the audit schedule
- Monitor the implementation of actions
- Remove any eventual non-conformance
- Conduct the audits/evaluations annual report

6. Audits schedule

6.1 Audits/Evaluation types:

There are several types of audits:

Type	Definition	Programming
INTERNALS		
QHSE Management Audits (ISO 9001, ISO 14001 & ISO 45001)	Audits to verify the proper implementation of BYTP's QHSE management system and its compliance with ISO 9001, ISO 14001 and ISO 45001 requirements.	Each of the processes is audited at least once every 3 years. These audits are partly carried out on projects/worksites to assess the compliance with the management system.
TOPSITE evaluation (internal CSR evaluation)	Project evaluations according to BYCN internal standards, which reflects the deployment of BYCN's 12 "Responsible & Committed" CSR commitments.	These evaluations are conducted according to BYTP's rules.
EXTERNALS		
QHSE Management Audits (ISO 9001, ISO 14001 & ISO 45001)	Audits to assess whether the partners' QHSE management system (subcontractors, suppliers) is aligned with BYTP requirements	These audits are carried out in a targeted manner according to the inherent risks of the activities of BYTP's partners. These risks are identified by both Divisions, Performance-Stakeholders and H&S, in connection with the Projects.
QUALITY CONTROL (outside the scope of this procedure)		
Quality Control Audits (QC)	<i>Targeted audits to verify the conformance of project activities with regard to product quality (technical standards, CCTP, rules of the art, ...)</i>	<i>These audits are defined according to the QC risks and challenges established notably the data collected through projects (NC, points 100, SAV...)</i>

Note:

- Project audits (excluding TopSite evaluations) can be carried out during the commercial or construction phase, depending on the objectives sought.
- QHSE management audits can be performed at the same period as TopSite evaluations.

6.2 Audits schedule

Internal and external audits are scheduled jointly by both Divisions Performance-Stakeholders and H&S.

The internal and external BYTP's audits schedule is the subject of a specific note "Three-year audit schedule".

This document is prepared for the BYTP's Management review.

The « Audits Schedule » defines:

- The "audit strategy" for the 3 years to come. This strategy is identified according to the inherent risks of the current company's activities and particularly for the projects.
- The list of planned internal and external audits.
- A provisional period for conducting these audits for the current year.
- The different topics which will be addressed (if known sufficiently in advance)
- The Standards in use.

To coordinate the execution of audits, a monthly review is organized by the Performance-Stakeholders Division (Perform Processus), by inviting the H&S Division.

The annual schedule of internal and external audits is updated at least twice a year to monitor the progress and integrate new audits if relevant. The Perform Processus Division is in charge of this update.

6.3 List of BYTP internal auditors

The list of BYTP's internal auditors is updated annually in the "Three-Year Audit Schedule" note.

Internal auditors are identified by both the Performance-Stakeholders and the H&S Divisions.

For each of them, the following are specified:

- Their experience, knowledge and skills in the construction industry of Civil Works, and particularly in terms of Quality, Environment, Risks and occupational Health/Safety
- Their training as an auditor (internal standards in particular)
- Their experience as an auditor

In-house trainings are regularly implemented to maintain and update the skills of BYTP's auditors, specifically in the following cases:

- Standards modification (e.g.: transition to ISO 45001)
- "Refresher" training at least every 5 years
- "Internal audit practice" training for new auditors.

7. Audits/Evaluations implementation

7.1 Preparation

The lead auditor establishes an audit plan in collaboration with the auditees (excluding TopSite evaluations). This document specifies the scope, the various themes audited as well as the dedicated hours and the names of the auditors and auditees.

The preparation is held between 2 weeks and 1 month before the audit/evaluation. It is carried out by the lead auditor and his/her team.

In this regard, the audit manager reviews the applicable documents and analyzes, if necessary, the results of previous audits/evaluations. He/she requests from the audited entity the necessary documents to carry out the audit/evaluation.

The audit plan is sent to the auditees at least 1 week before the beginning of the audit (MNG-FOR-0004-EN).

7.2 On-site Audit/Evaluation

The audit/evaluation process is carried out in 3 steps:

- An opening meeting which aims to:
 - Introduce the speakers,
 - Confirm the pre-established audit plan,
 - Recall the objectives and scope of application,
 - Confirm the logistical aspects necessary for a smooth audit.
- Interviews and visits to collect evidence for the audit findings. For TopSite evaluation, the TopSite grid is used.
- A summary and preparation meeting of the audit's conclusions. This meeting is held within the audit team. It aims to:
 - Review the audit findings and any other information gathered during, in relation to the audit objectives
 - Agree on the audit conclusions taking into account the inherent uncertainty in the audit process
 - Prepare recommendations, if specified by the audit plan.
- Feedback to the auditees (closing meeting) in order to:
 - Report the non-conformances observed in the presence of the auditees for comments and validation
 - Specify the report's expected release date
 - Set a suitable timeline for non-conformances returns and identify the next step (follow-up audit, etc.)

During this meeting, and according to the findings level of impact, the auditor may require a follow-up audit within a timeline to be determined to ensure the proper implementation of the associated corrective/preventive actions.

The Attendance Sheet (MNG-FOR-0006-FR EN) is to be completed and signed by both the auditors and the auditees. It is kept in the audit report.

7.3 The report

The lead auditor establishes a report within a reasonable timeline, not exceeding 1 month, in agreement with the audited entities and individuals.

This report includes the following: the audit plan information, findings details, potential recommendations and the conclusion.

There are several types of findings:

- **Compliant:**
 - **Strong Point (SP):** Best practice and/or element exceeding the requirements of the audit standards.
 - **Compliant (C):** Provisions that comply with the internal and/or external assessed standards
- **Opportunity For Improvement (OFI):** An element of the management system that is found to be compliant but can be improved in order to increase performance
- **Area Of Concern (AOC):** An element where audit evidence shows that the company is at risk of not meeting the applicable requirements in the short or medium term. These Sensitive Points are reassessed during the next audit.
- **Non-conformance:** Non-compliant elements with respect to the applicable requirements with a proven risk on performance (Quality, Customer Satisfaction, Health & Safety, Environment). Non-conformances are divided into two categories:
 - **Minor non-conformance (NC min):** Non-satisfaction of a Standard requirement that does not lead to a significant risk of non-compliance with a specified requirement. Non-Satisfaction of a requirement that does not compromise the effectiveness or the Improvement of the Management System
 - **Major non-conformance (NC maj):** Non-satisfaction of a Standard requirement affecting the organization, the application or the formalization of the Management System and leading to a proven risk of non-compliance, recurrent or unique in case of a high risk, of a specified requirement. Non-satisfaction of a requirement impacting the effectiveness or the Improvement of the Management System.
- **Note:** Useful information for understanding the audit report and the examined situations.

For TopSite evaluations, the report is carried out directly according to the grid, accompanied by potential comments.

Internal Audit Report (MNG-FOR-0002-EN) or TopSite evaluations reports are published and distributed by the lead auditor:

- To the auditees,
- To the hierarchy of the audited area (OU Management in the case of an OU audit, Project Management in case of a project audit, process Pilot in case of a process audit, SE management in case of a SE audit),
- To the co-auditors and observers.

8. Audits/Evaluations follow-up

Once the report is issued, the auditees are **responsible for defining and implementing corrective actions**.

They must include in their QHSE improvement plan

- The actions to be undertaken,
- The name of the action responsible,
- The action deadline,
- The action status (open if the action is ongoing, closed if the action is formally validated with regards to the evidence and closed).

In terms of prevention, Occupational Health and Safety, the audits results are reported in a suitable form (1/4h safety, Obeyas workers, etc. ...) to the interested parties (to the management, the workers and their representatives, ...).

9. Audits/Evaluations summary

An annual report of internal and external audits as well as TopSite evaluations is carried out as part of the integrated Quality, Health & Safety, Environment Management.

This report is conducted by both Divisions: Performance-Stakeholders and H&S.

It aims to record the best practices and to feed the loop of continuous improvement by implementing preventive actions company-wide.

This report is an input to BYTP management review.